

Warren has repeatedly demonstrated his ability—in fact his preference—for investing at the bottom of the cycle, when optimism is in short supply. His investments of \$5 billion each in 10 percent preferred stock of Goldman Sachs and General Electric at the depths of the 2008 financial crisis, and his purchase of economically sensitive Burlington Northern for \$34 billion in 2009, are emblematic of this. The wisdom of these investments is obvious today in retrospect, but how many acted as boldly when fear of a financial collapse was rampant?

- **He has a long-term focus and is unconcerned with volatility.** Over my 45 years in the business, investors' time horizons have gotten shorter and shorter. This is likely the result of increased media attention to investment results (there was none in the 1960s), its contagion to investors and their clients, and the striving for yearly gains introduced by hedge funds' annual incentive fees. But as other people allow nonsensical biases to affect their thoughts and actions, we can profit from avoiding them. Thus, most investors' excessive concern with quarterly and annual results creates profit opportunities for those who think in terms of longer periods.

Warren has famously said that his “holding period is forever,” and that he “prefers a lumpy 15 percent a year over a smooth 12 percent.” This allows him to stick with great ideas for long periods of time, compounding his gains and allowing profits to build up untaxed, rather than turning over the portfolio every year and paying taxes at short-term rates. It also helps him avoid getting shaken out in times of volatility, and instead lets him take advantage of them. In fact, rather than insist on liquidity and take advantage of the ability to exit from investments, Warren's actions make clear that he is happy making investments he could never shed.

- **He's unafraid to bet big on his best ideas.** Diversification has long played a leading part in so-called prudent investment management. In short, it reduces the likelihood of large individual losses (and of being sued for having had too much in a losing position). But while it reduces the pain caused by losing investments, a high degree of diversification correspondingly reduces the potential gain from winners.